

ASSET AND LIABILITY MANAGEMENT COMMITTEE (ALCO)

Report to the Board of Directors – Q3 FY2025/26

Reporting Period: January 1 – March 31, 2026

Date of Report: 20/4/2026

Submitted by: ALCO Chairperson

1. Introduction

The ALCO met on 20/4/2026 to review HMFI's balance sheet structure, funding strategy, asset-liability management (ALM), interest rate risk, and liquidity profile for the third quarter of the 2025/26 financial year. The committee examined the Risk Department's Q3 report, including inherent risk scores (Section 5.1), CAMEL components (Section 6.8), and the liquidity and interest rate stress tests (pages 36-41). This report summarizes our findings and recommendations for the Board across all areas within ALCO's mandate.

2. Balance Sheet Structure and Capital Adequacy (from CAMEL)

The CAMEL Capital Adequacy component is rated **3 (Satisfactory)**. The Capital Adequacy Ratio (CAR) stands at 120.68%, ten times the NBE minimum of 12%. The debt-to-equity ratio is 22.87%, reflecting a conservative funding structure. Total capital constitutes 81.4% of total assets.

The committee notes that while capital is exceptionally strong, the balance sheet is heavily weighted toward cash (38.8% of assets) and loans (56.9%). Fixed assets are only 3.15%. The institution earns very low returns on its large cash holdings (ROE is only 1.2% annualized). This is a strategic balance sheet issue that ALCO must address.

Observation: The high capital base provides an enormous loss-absorption buffer, but it also indicates that HMFI is not leveraging its capital efficiently. The committee recommends that management explore profitable, low-risk uses of excess capital and cash, such as higher-yielding investments (e.g., NBE bills) or selective portfolio expansion.

3. Asset-Liability Mismatch (ALM) – Inherent Risk Score 3 (Moderate)

The inherent risk score for ALM mismatch is **3 (Moderate)**, with a reported gap of 20-30% (target <10%). The committee analysed the maturity profile: most loans have

tenors of 12-24 months, while a significant portion of liabilities (customer deposits and some government guarantee funds) have shorter maturities or are callable.

This mismatch creates refinancing risk. If short-term liabilities are not rolled over, HMFI would need to sell illiquid loan assets or draw on its cash buffer. The stress tests show that the cash buffer can absorb a shock, but repeated mismatches would reduce profitability because short-term funding would need to be replaced at potentially higher rates.

Action: Management must present a plan to reduce the mismatch to below 15% within 120 days. The plan should include:

- Introducing shorter-tenor loan products (e.g., 6-month working capital loans).
- Negotiating longer maturities for government guarantee funds (from 12 months to 24 months).
- Maintaining a ladder of maturing assets and liabilities.

4. Interest Rate Risk – Inherent Assessment and Stress Tests

The committee reviewed the interest rate risk stress tests (pages 38-40). The results show:

- The net interest margin (annualized) is 22%, which is very high.
- Even if deposit interest expense triples, the NIM would still be 18.6%, and profit would remain positive (approximately 1.08 million Birr per quarter).
- If market rates rise by 200 basis points and only half of loans reprice, net interest income would still increase because the loan book is much larger than the deposit base.

The inherent risk for interest rate risk is not explicitly scored, but the CAMEL Earnings component is rated **3 (Moderate)**. The committee concludes that interest rate risk is **low** due to the large positive gap between rate-sensitive assets and liabilities. However, the committee warns that this favourable position depends on maintaining a high NIM. Any regulatory cap on lending rates or increased competition could compress margins.

Action: ALCO will monitor the NIM quarterly and report any decline of more than 200 basis points to the Board. No immediate action is required.

5. Funding Strategy – Concentration and Loan-to-Deposit Ratio

The inherent risk score for Funding Stability is **4 (Good)**, with deposit volatility of 5-10% and good diversification. However, the committee is concerned about two figures from the financial statements:

- **Loan-to-deposit ratio: 563.8%**. This means that for every 1 Birr of customer deposits, HMFI has lent out 5.64 Birr. The difference is funded by regional government guarantee funds (long-term liabilities). If those government funds are not renewed, the institution would face a severe funding gap.
- **Concentration:** 42% of total liabilities are government guarantee funds. There is no formal commitment from the regional governments for renewal. The stress test on government fund recall (page 38) shows that a 50% sudden recall would leave liquidity at 342%, which is survivable. But a **non-renewal** (i.e., the funds disappear over a few months) would require HMFI to replace ETB 39 million of funding. The committee has not seen a plan for this.

Actions recommended to the Board:

- Set a phased target to reduce the loan-to-deposit ratio to below 300% within two years. Interim targets: below 500% by Q4 2026, below 400% by Q2 2027.
- Direct management to prepare a funding diversification strategy by June 2026, including: growing retail deposits through digital channels, exploring a credit line from commercial banks, and engaging regional governments to convert callable funds into fixed-term deposits with at least 24-month maturity.

6. Cash Flow Forecasting – Inherent Score 2 (Weak)

This is the lowest inherent risk score in the liquidity section. The committee reviewed the forecasting process. Actual accuracy is only 70-80%, compared to the 95% target. Assumptions are not documented, and there is no regular back-testing.

Without reliable forecasts, ALCO cannot effectively manage liquidity. The stress tests assume perfect information, but in reality, management often makes decisions based on projections that are wrong by 20-30%. This is unacceptable.

Action: The committee has already instructed management to implement a new forecasting model within 90 days. The model must include:

- Weekly forecasts for the next 4 weeks and monthly forecasts for the next 3 months.

- Written assumptions (e.g., collection rates, withdrawal factors). Monthly back-testing, with explanations for any variance > 10%.
- A target of at least 90% accuracy within 90 days, and 95% within one year.

7. Contingency Funding Plan (CFP)

The stress tests are documented, but HMFI has a formal Contingency Funding Plan. But no action is taken implementing the policy and securing contingency funds

The Board is requested to apply the approved CFP and to review the final document for formal adoption.

8. Balance Sheet Structure – Desired Mix

The committee discussed the current asset composition: 56.9% loans, 38.8% cash, 3.15% fixed assets. The high cash balance is safe but earns almost nothing, dragging ROE to only 1.2%. The loan portfolio yield is 12.68%, but the large cash holding reduces the effective return on total assets.

Recommendation: ALCO recommends that the Board consider a target asset mix that reduces cash to no more than 25% of total assets over the next 12-18 months, redeploying the excess into either:

- Higher-yielding, low-risk instruments (e.g., NBE bills, short-term government securities).
- Selective loan expansion with strong underwriting.

The committee does not suggest aggressive risk-taking, but the current cash drag is a clear opportunity cost.

10. Summary of Recommendations to the Board

Based on the above, the ALCO requests the Board to approve the following decisions:

#	Recommendation
1	Direct management to reduce ALM mismatch to <15% within 120 days.
2	Set a phased target for loan-to-deposit ratio ($\leq 500\%$ by Q4, $\leq 300\%$ in 2 years).

#	Recommendation
3	Require management to produce a funding diversification strategy by June 2026.
4	Endorse the new cash flow forecasting model with monthly back-testing; target $\geq 90\%$ accuracy in 90 days.
5	Implement a Contingency Funding Plan (CFP) for board adoption within 90 days.
6	Consider a target asset mix to reduce excess cash to $\leq 25\%$ of total assets, redeploying into higher-yielding, safe instruments.
8	Accept this report as the Q3 balance sheet, liquidity, and ALM update.

11. Conclusion

HMFI is exceptionally well-capitalized and liquid. The CAMEL scores of 3 and inherent scores of 4 and 5 for buffers and stability are reassuring. However, the committee has identified clear gaps in forecasting (Score 2), ALM mismatch (Score 3), funding concentration, and the absence of a CFP and transfer pricing. These are not urgent crises, but they are structural weaknesses that require board-directed management action. The ALCO will monitor progress and report again in Q4.

Respectfully submitted,

Chairperson, ALCO Sub-Committee

Harar Microfinance Institution